

IFRS 16-LEASES PRACTICE QUESTIONS

Question 1 (Financial lease in the books lessee)

On 1st January 2019, Diamond entered into a two-year lease for machinery. The contract contains an option to extend the lease term for a further year. Diamond believes that it is reasonably certain to exercise this option. Machineries have a useful life of ten years. Lease payments are N100,000,000 per annum for the initial term and N150,000,000 per annum for the option period. All payments are due at the end of the year. To obtain the lease Diamond incurs initial direct cost of N30,000,000. Lessor agreed to reimburse its 10,000,000 Soph. The interest rate within the lease is not readily determinable. Diamond's incremental rate of borrowing is 5%.

Required

- a) Calculate the initial carrying amount of the lease liability and the right to use asset and provide the double entries needed to record these amounts in Diamond's financial records.
- b) Prepare extract from the statement of profit or loss and other comprehensive income for the year ended 31 December 2019, 31 December 2020 and 31 December 2021 for the lessee and the statement of financial position.

Question 2 (Financial lease in the books of lessee)

Sibajene Plc entered into a five-year lease of factory plant commencing on 1.1.2018. The plant had a useful economic life of 15 years a fair value of N 30 million that date. Sibajene spent N2,000,000 to transport the plant from the lessor premises into its factory. The cost of installing the plant in sibajener's factory amounted to N1,000,000 Legal cost relating to the lease contract incurred by Sibajene's were N500,000. The lease required Sibajene to initially pay a rental (due 31 December each year) of N5,000,000 p.a for the first three years of the lease term and N3,000,000 thereafter Sibajene was required to guarantee the residual value of the plant at end of the lease term at a fair value of N12 million. Sibajene's is required to dismantle and transport the plant back to the lessor's premises at end of the lease term. The cost of this has been estimated at N2,500,000. The company incremental borrowing rate at 1 January 2018 was 15%. all amount requiring discounting must be discounted at 15%.

Required:

show with appropriate calculation, the accounting entries required to record each transaction above for the year ended 31 December 2018. present the relevant extract from the statement of

profit or loss for the year ended 31 December 2018 and the statement of financial position as at that date.

Question 3 (Finance lease in the books of lessee)

P Limited entered into a four-year lease on 1 January 2019 for a machine. Rentals are N20,000,000 p.a payable in advance. P. Limited incurs initial direct cost of N5,000,000. The rate of interest implicit in the lease is 10% Machine has a useful life five years.

Required;

Prepare extracts from financial statement for the year ended 31 December 2019-

Question 4 (Low-value assets)

On 1st April 2018. Tenge acquires telephones for its sale forces under a two-year lease agreement. The term of the lease requires an initial payment of N2,000,000. Followed by two payments of N8,000,000 each on 31st March 2020.

Required:

Show the impact of this lease arrangement on the financial statement of Tenge for the year ended 31st December 2018.

Question 5 (Low-value asset)

On 1st January 2018, an entity leases office equipment for 5 years. The total value of the equipment when new is N11,500,000, determined by the entity to be low-value asset lease payments are payable as follows.

Year 1 -N nil (rent-free period)

Year 2 and 3 -N4,025,000 per year

Year4 and 5 -N3,450,000 per year

In addition, the lessor provided a lease incentive with the value of N1,150,000

Required:

Show the impact of this lease arrangement in the financial statement of an entity for the year ended 31st December 2018.

Question 6 (Finance lease in the books of lessor)

Vinara leases machinery to Toro. The lease is for four year at annual payment of N20,000,00 payable annually in arrears. The implicit rate of interest is 15%.

Required:

Show how the net investment in the lease is presented in Vinara's statement of financial position at the end of year 1-4.

Question 7- (Finance lease in the books of lessor)

Mafinga Company leased an asset to another company with effect from 1 January 2018 .The terms of the lease were as follows;

- Lease term of three year•
- Rentals of N110,000,000 per annum are payable in advance
- The interest rate implicit in the leases is 10%The fair value of the asset on January 2018 was N300,000,000 and legal fees associated with the lease amounting to N850,000 were payable by Mafinga Company on this date.

Required:

What figure will be shown in the financial statement for the year ended 31 December 2018, 2019, 2020.

Question 8–(Finance lease in the books of lessor)

XYZ LTD leased medical equipment:

Lease term: 2 years

Inception of lease: 1 Jan 2018

Annual installments in advance: N44,000,000

Residual value of asset at end of lease:” N11,000,000

Expected residual value at end of lease: 10%

Required:

What figure will be shown in the financial statement for the year ended 31 December 2018 and 2019

Question 9 (Operation lease in the books of lessor)

Omari hires out the industrial plant on long-term operation leases. On 1 January 2018. it entered into a seven-year lease on a mobile crane. The terms of the lease are N175,000,000 payable on 1 January 2018, followed by six rentals of N70,000,000 payable on 1 January 2019-2024. The plant will be returned to Omari on 31 December 2024. The plant cost N800,000,000 and has a 25-year useful life with no residual value.

Required

Calculate the annual rental income that will be recognised by Omari

Question 10

- i. On 1 August 2017, Madulu Plc entered into an agreement to lease a building for a 10 year period. The lease term stipulated that the annual lease rental would be N100,000,000 per annum in arrears with the first payment due on 31 July 2018. The interest rate implicit in the lease is 7% and the present value of the minimum lease payments is N702,358,154. Maduhu incurred costs of N30,000,000 in entering the lease. The lease terms allow for the extension of the lease at market rental.
- ii. On the same date, Madulu Plc entered into an agreement to acquire a motor vehicle. The term of the agreement was that the vehicle would be leased for 5 years from the date of inception, Subject to a deposit of N19,971,176 and 5 annual payments of N65,500,000 in advance, commencing on 1 August 2017. The fair value of the vehicle and the present value of the lease payment was N48,000,000 at inception. The interest rate implicit in the lease is 8%.

REQUIRED:

Show, with appropriate calculation, the accounting entries required to record each transaction above for the year ended 31 July 2018, Present the relevant extracts form the statement from the statement of profit or loss for the year ended 31 July 2018, and the statement of financial position as at that date.